



February 13, 2026

ENGROSSED

HOUSE BILL No. 1002

DIGEST OF HB 1002 (Updated February 12, 2026 9:39 am - DI 140)

Citations Affected: IC 4-22; IC 8-1; noncode.

Synopsis: Electric utility affordability. Requires an electricity supplier, other than a municipally owned utility, that is under the jurisdiction of the Indiana utility regulatory commission (IURC) to do the following: (1) Beginning with the first monthly billing cycle that begins after June 30, 2026, apply a levelized billing plan (plan) to all active residential customer accounts: (A) for service provided under the electricity supplier's standard residential tariff to a household that is eligible for and has applied for assistance from the state's home energy assistance program; and (B) to which a plan does not already apply. (2) Not later than April 1, 2026, offer each customer a mechanism by which the customer may opt out of a plan at any time without penalty. (3) Not later than July 1, 2026, for any plan offered by the electricity supplier
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Effective: Upon passage; July 1, 2026.

Shonkwiler, Soliday, Pressel, Burton
(SENATE SPONSORS — KOCH, HUNLEY, FORD J.D.)

January 8, 2026, read first time and referred to Committee on Utilities, Energy and Telecommunications.

January 22, 2026, amended, reported — Do Pass.

January 27, 2026, read second time, amended, ordered engrossed.

January 28, 2026, engrossed. Read third time, passed. Yeas 89, nays 4.

SENATE ACTION

February 2, 2026, read first time and referred to Committee on Utilities.

February 9, 2026, amended, reported favorably — Do Pass; reassigned to Committee on Appropriations.

February 12, 2026, reported favorably — Do Pass.

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and applied to an active customer account, amend or design the plan so that plan's account reconciliation mechanism is applied at such times during a calendar year to reflect typical seasonal patterns of electricity usage by residential customers, but not more than two times during a calendar year. Prohibits an electricity supplier from referring to or promoting a levelized billing plan as a "budget billing plan" unless the levelized billing plan also provides other specified forms of relief for customers. Authorizes the IURC to adopt rules to implement these provisions. Amends existing law granting the IURC the authority to take certain actions with respect to the rates and services of public utilities during emergency circumstances, as judged by the IURC, to provide instead that the IURC may recommend that the governor declare a disaster emergency or proclaim a state of energy emergency during which the IURC may take such actions. Specifies that the emergency must result from: (1) a national economic depression; (2) an act of war; or (3) a disaster of unprecedented size and destructiveness. Provides that an electric utility, other than a municipally owned utility, may not terminate residential electric service to a customer on any day with respect to which the National Weather Service has forecast, not earlier than 48 hours in advance, a heat index of at least 95 degrees for the location where the customer receives service. Requires an electricity supplier, other than a municipally owned utility, that is under the jurisdiction of the IURC for the approval of rates and charges to report to the office of utility consumer counselor (OUCC) on a quarterly basis certain data concerning residential customer accounts. Requires the OUCC to annually compile and summarize the information contained in the reports and include the summary in the OUCC's annual report to the interim study committee on energy, utilities, and telecommunications. Provides that an investor owned electricity supplier that is under the jurisdiction of the IURC for the approval of rates and charges must petition the IURC for approval of any change in its basic rates and charges through the submission of a three-year multi-year rate plan (MYRP). Beginning in 2026, requires each electricity supplier to file its first petition with the IURC for approval of an MYRP according to a prescribed schedule. Provides that the base rates for the first rate year of an MYRP shall be established by the IURC in the same manner that base rates would be established in a proceeding for a change in basic rates and charges that occurs outside an MYRP. Specifies that in a petition to the IURC for a multi-year plan, an electricity supplier must include certain information in its case in chief. Provides that for each rate year in an electricity supplier's MYRP, the following apply: (1) A customer affordability performance metric and an associated performance incentive mechanism (PIM) that: (A) is based on the electricity supplier's performance in meeting the customer affordability performance metric; and (B) provides financial rewards or penalties to the electricity supplier based on that performance. (2) A service restoration performance metric and an associated PIM that: (A) is based on the electricity supplier's performance in meeting the service restoration performance metric; and (B) provides financial rewards or penalties to the electricity supplier based on that performance. Sets forth the methods by which the IURC must calculate the prescribed performance metrics and determine the associated PIMs. Sets forth specified findings the IURC must make in approving an electricity supplier's MYRP. Provides that at any time before the expiration of an electricity supplier's approved MYRP, the IURC may, upon its own motion, or at the request of the OUCC or the electricity supplier: (1) examine the electricity supplier's rates under the MYRP; (2) conduct periodic reviews with opportunities for public hearings and comments; and (3) adjust the base rates or PIMs under the MYRP. Beginning in 2029, requires the IURC to include in its annual report certain information about: (1) the status of electricity suppliers' MYRP filings

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and current MYRPs; (2) electricity suppliers' calculated performance metrics for the current rate year; and (3) the impact of all applicable PIMs on customer rates. Requires the IURC to adopt rules to implement these provisions. Requires an electricity supplier, other than a municipally owned utility, that is under the jurisdiction of the IURC to offer, not later than July 1, 2026, a low income customer assistance program (program) that provides financial assistance to low income residential customers for the payment of monthly bills for utility service. Requires an electricity supplier to annually fund its program in an amount equal to: (1) at least 0.2% of the electricity supplier's jurisdictional revenues for residential customers; plus (2) any contributions from governmental agencies or programs or from other third parties. Provides that if a customer who applies for assistance is eligible for assistance under the program, the electricity supplier shall enroll the customer in the program. Provides that an electricity supplier may, but is not required to, petition the IURC for approval to recover eligible program costs. Provides that "eligible program costs" do not include costs recovered by the electricity supplier through contributions that are provided at no cost to the electricity supplier. Beginning in 2027, requires the IURC to include each year in its annual report specified information concerning each electricity supplier's program with respect to the most recently concluded state fiscal year. Requires the IURC to adopt rules to implement these provisions.



February 13, 2026

Second Regular Session of the 124th General Assembly (2026)

PRINTING CODE. Amendments: Whenever an existing statute (or a section of the Indiana Constitution) is being amended, the text of the existing provision will appear in this style type, additions will appear in **this style type**, and deletions will appear in ~~this style type~~.

Additions: Whenever a new statutory provision is being enacted (or a new constitutional provision adopted), the text of the new provision will appear in **this style type**. Also, the word **NEW** will appear in that style type in the introductory clause of each SECTION that adds a new provision to the Indiana Code or the Indiana Constitution.

Conflict reconciliation: Text in a statute in *this style type* or ~~this style type~~ reconciles conflicts between statutes enacted by the 2025 Regular Session of the General Assembly.

ENGROSSED HOUSE BILL No. 1002

A BILL FOR AN ACT to amend the Indiana Code concerning utilities.

Be it enacted by the General Assembly of the State of Indiana:

- 1 SECTION 1. IC 4-22-2.3-7, AS ADDED BY P.L.249-2023,
2 SECTION 43, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
3 UPON PASSAGE]: Sec. 7. The Indiana utility regulatory commission
4 may adopt interim rules under the interim rule procedures in
5 IC 4-22-2-37.2 pursuant to its authority under IC 8-1-1-3(g). ~~or~~
6 ~~IC 8-1-2-113~~: A rule described in this section expires not later than two
7 (2) years after the rule is accepted for filing by the publisher of the
8 Indiana Register and may not be continued in another interim rule.
9 SECTION 2. IC 8-1-2-4.7 IS ADDED TO THE INDIANA CODE
10 AS A **NEW** SECTION TO READ AS FOLLOWS [EFFECTIVE
11 UPON PASSAGE]: Sec. 4.7. (a) As used in this section, "levelized
12 billing plan" means a levelized payment plan, however
13 denominated, that:
14 (1) applies to a customer's account with an electricity
15 supplier;

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(2) provides for the payment of a customer's bill in equal monthly installments; and

(3) involves a reconciliation mechanism in which:

(A) the amount of utility service actually used by the customer during a specified period is compared with the amount of utility service for which the customer was billed under the plan during the specified period; and

(B) the customer's account is either billed or credited, as appropriate, for any difference identified under clause (A).

(b) As used in this section, "customer" refers to a residential customer who has agreed to pay for utility service from an electricity supplier under the electricity supplier's standard residential tariff. The term does not include a residential customer who has agreed to pay for utility service from an electricity supplier under an alternative billing tariff approved by the commission.

(c) As used in this section, "electricity supplier" means a person, other than a municipally owned utility (as defined in IC 8-1-2-1(h)), that:

(1) provides utility service to customers; and

(2) is under the jurisdiction of the commission for the approval of rates and charges.

(d) As used in this section, "utility service" means electric service that is provided at retail to customers.

(e) An electricity supplier shall do the following:

(1) Beginning with the first monthly billing cycle that begins after June 30, 2026, apply a levelized billing plan to all active customer accounts:

(A) for utility service provided under the electricity supplier's standard residential tariff to a customer who is part of a household that is eligible for and has applied for assistance from a home energy assistance program administered under IC 4-4-33; and

(B) to which a levelized billing plan does not already apply.

(2) Not later than April 1, 2026, offer each customer of the electricity supplier a mechanism, through one (1) or more methods described in subsection (f)(4), by which the customer may opt out of a levelized billing plan at any time, without penalty, before or after the levelized billing plan is applied to the customer's account, subject to the reconciliation mechanism described in subsection (a)(3).

(3) Not later than July 1, 2026, for any levelized billing plan



1 offered by the electricity supplier and applied to an active
 2 customer account, regardless of the date the levelized billing
 3 plan was first offered or applied, amend or design the
 4 levelized billing plan, as applicable, so that the reconciliation
 5 mechanism described in subsection (a)(3) is applied at such
 6 times during a calendar year to reflect, to the extent possible,
 7 typical seasonal patterns of electricity usage by residential
 8 customers, but not more than two (2) times during a calendar
 9 year.

10 (f) Not later than April 1, 2026, an electricity supplier shall
 11 provide to each customer described in subsection (e)(1) a written
 12 notice that:

13 (1) informs the customer that a levelized billing plan will be
 14 applied to the customer's account beginning with the first
 15 monthly billing cycle that begins after June 30, 2026, if a
 16 levelized billing plan does not already apply to the customer's
 17 account;

18 (2) describes, in clear language that is easily understandable
 19 to a lay person, the reconciliation mechanism described in
 20 subsection (a)(3), including an explanation of:

21 (A) the number of times during a calendar year that the
 22 reconciliation mechanism will be applied to the customer's
 23 account, subject to subsection (e)(3);

24 (B) for each time during a calendar year that the
 25 reconciliation mechanism will be applied, the monthly
 26 billing cycle after which the reconciliation mechanism will
 27 be applied; and

28 (C) the method by which the electricity supplier will:

29 (i) compare the amount of utility service actually used by
 30 the customer with the amount of utility service for which
 31 the customer was billed under the plan during the billing
 32 cycles that are being reconciled; and

33 (ii) either bill or credit the customer's account, as
 34 appropriate, for any difference identified under item (i);

35 (3) offers the customer a mechanism, through one (1) or more
 36 methods described in subdivision (4), by which the customer
 37 may opt out of a levelized billing plan at any time, without
 38 penalty, before or after the levelized billing plan is applied to
 39 the customer's account, subject to the reconciliation
 40 mechanism described in subsection (a)(3); and

41 (4) is delivered to the customer by one (1) or more of the
 42 following methods:



1 (A) United States mail.

2 (B) Electronic mail.

3 (C) A mobile application or another Internet based
4 method.

5 (g) Not later than April 1, 2026, an electricity supplier shall post
6 on its website the information set forth in subsection (f)(2) and
7 (f)(3) for each levelized billing plan offered by the electricity
8 supplier, regardless of the date the levelized billing plan was first
9 offered.

10 (h) Except as provided in subsection (i), an electricity supplier
11 may not refer to or promote a levelized billing plan required under
12 this section as a "budget billing plan" in:

13 (1) the information required to be posted on the electricity
14 supplier's website under subsection (g);

15 (2) any customer bill that is issued after June 30, 2026; or

16 (3) any customer or external communications made after June
17 30, 2026.

18 (i) The prohibition set forth in subsection (h) does not apply
19 with respect to a billing plan that provides for levelized payments
20 if the plan also allows a customer to:

21 (1) pay current or past due amounts for utility service in
22 lower amounts, over an extended period of time, or according
23 to another schedule agreed upon by the electricity supplier
24 and the customer;

25 (2) defer the payment of current or past due amounts for
26 utility service to some future date; or

27 (3) receive a forbearance with respect to the payment of
28 certain amounts owed.

29 (j) The commission may adopt rules under IC 4-22-2 to
30 implement this section.

31 SECTION 3. IC 8-1-2-42.7, AS ADDED BY P.L.133-2013,
32 SECTION 4, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
33 UPON PASSAGE]: Sec. 42.7. (a) Subsections (g) and (j) do not
34 apply to an electricity supplier (as defined in IC 8-1-46-6) that has
35 filed a petition with the commission to change the electricity
36 supplier's basic rates and charges through the submission of a
37 multi-year rate plan under IC 8-1-46.

38 ~~(a)~~ (b) For purposes of this section, "average prime rate" means the
39 arithmetic mean, to the nearest one-hundredth of one percent (0.01%),
40 of the prime rate values published in the Federal Reserve Bulletin for
41 the three (3) months preceding the first month of a calendar quarter.

42 ~~(b)~~ (c) For purposes of this section, "case in chief" includes the



1 following:

- 2 (1) Testimony, exhibits, and supporting work papers.
- 3 (2) Proposed test year and rate base cutoff dates.
- 4 (3) Proposed revenue requirements.
- 5 (4) Jurisdictional operating revenues and expenses, including
- 6 taxes and depreciation.
- 7 (5) Balance sheet and income statements.
- 8 (6) Jurisdictional rate base.
- 9 (7) Proposed cost of capital and capital structure.
- 10 (8) Jurisdictional class cost of service study.
- 11 (9) Proposed rate design and pro forma tariff sheets.

12 ~~(c)~~ (d) For purposes of this section, "utility" refers to the following:

- 13 (1) A public utility.
- 14 (2) A municipally owned utility.
- 15 (3) A cooperative owned utility.

16 ~~(d)~~ (e) In a petition filed with the commission to change basic rates
 17 and charges, a utility may designate a test period for the commission to
 18 use. The utility must include with its petition the utility's complete case
 19 in chief. The commission shall approve a test period that is one (1) of
 20 the following:

- 21 (1) A forward looking test period determined on the basis of
- 22 projected data for the twelve (12) month period beginning not
- 23 later than twenty-four (24) months after the date on which the
- 24 utility petitions the commission for a change in its basic rates and
- 25 charges.
- 26 (2) A historic test period based on a twelve (12) month period that
- 27 ends not more than two hundred seventy (270) days before the
- 28 date on which the utility petitions the commission for a change in
- 29 its basic rates and charges. The commission may adjust a historic
- 30 test period for fixed, known, and measurable changes and
- 31 appropriate normalizations and annualizations.
- 32 (3) A hybrid test period based on at least twelve (12) consecutive
- 33 months of combined historic data and projected data. The
- 34 commission may adjust the historic data as set forth in
- 35 subdivision (2).

36 ~~(e)~~ (f) This subsection does not apply to a proceeding in which a
 37 utility is seeking an increase in basic rates and charges and requesting
 38 initial relief under IC 8-1-2.5-5 or IC 8-1-2.5-6. If the commission does
 39 not issue an order on a petition filed by a utility under subsection ~~(d)~~
 40 (e) within three hundred (300) days after the utility files its case in
 41 chief in support of the proposed increase, the utility may temporarily
 42 implement fifty percent (50%) of the utility's proposed permanent



1 increase in basic rates and charges, subject to the commission's review
 2 and determination under subsection ~~(f)~~ **(g)**. The utility shall submit the
 3 proposed temporary rates and charges to the commission at least thirty
 4 (30) days before the date on which the utility seeks to implement the
 5 temporary rates and charges. The temporary rates and charges may
 6 reflect proposed or existing approved customer class allocations and
 7 rate designs. However, if the utility uses a forward looking test period
 8 described in subsection ~~(d)(1)~~ **(e)(1)** or a hybrid test period described
 9 in subsection ~~(d)(3)~~ **(e)(3)**, the utility may not:

10 (1) implement the temporary increase before the date on which
 11 the projected data period begins; or

12 (2) object during a proceeding before the commission to a
 13 discovery request for historic data as described in subsection
 14 ~~(d)(2)~~ **(e)(2)** solely on the basis that the utility has designated a
 15 forward looking or hybrid test period.

16 ~~(f)~~ **(g)** The commission shall review the temporary rates and charges
 17 to determine compliance with this section. The temporary rates and
 18 charges take effect on the latest of the following dates unless the
 19 commission determines that the temporary rates and charges are not
 20 properly designed in compliance with this section:

21 (1) The date proposed by the utility.

22 (2) Three hundred (300) days after the date on which the utility
 23 files its case in chief.

24 (3) The termination of any extension of the three hundred (300)
 25 day deadline authorized under subsection ~~(g)~~ **(h)** or ~~(h)~~ **(i)**.

26 If the commission determines that the temporary rates and charges are
 27 not properly designed in compliance with this section, the utility may
 28 cure the defect and file the corrected temporary rates and charges with
 29 the commission within a reasonable period determined by the
 30 commission.

31 ~~(g)~~ **(h)** If the commission grants a utility an extension of the
 32 procedural schedule, the commission may extend the three hundred
 33 (300) day deadline set forth in subsection ~~(e)~~ **(f)** by the length of the
 34 extension.

35 ~~(h)~~ **(i)** The commission may suspend the three hundred (300) day
 36 deadline set forth in subsection ~~(e)~~ **(f)** one (1) time for good cause. The
 37 suspension may not exceed sixty (60) days.

38 ~~(i)~~ **(j)** If a utility implements temporary rates and charges that differ
 39 from the permanent rates and charges approved by the commission in
 40 a final order on the petition filed under subsection ~~(d)~~ **(e)**, the utility
 41 shall perform a reconciliation and implement a refund, in the form of
 42 a credit rider, or a surcharge, as applicable, on customer bills rendered



on or after the date the commission approves the credit or surcharge. The refund or surcharge shall be credited or added in equal amounts each month for six (6) months. The amount of the total refund or surcharge equals the amount by which the temporary rates and charges differ from the permanent rates and charges, plus, for a refund only, interest at the applicable average prime rate for each calendar quarter during which the temporary rates and charges were in effect.

SECTION 4. IC 8-1-2-113, AS AMENDED BY P.L.93-2024, SECTION 65, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE UPON PASSAGE]: Sec. 113. (a) **Subject to subsections (b) and (c),** the commission may, when it considers it necessary to prevent injury to the business or interests of the people ~~of~~, or any public utility ~~of this state operating in, Indiana in case the event of any emergency to be~~ judged by the commission; **that results from:**

(1) **a national economic depression;**

(2) **an act of war; or**

(3) **a disaster of unprecedented size and destructiveness resulting from manmade or natural causes;**

recommend that the governor declare a disaster emergency under IC 10-14-3-12 or proclaim a state of energy emergency under IC 10-14-3-13, as applicable, during which the commission may temporarily alter, amend, or with the consent of the public utility concerned, suspend any existing rates, service, practices, schedules, and order or orders relating to or affecting any public utility or part of any public utility operating in this state: Indiana. The alterations, amendments, or suspensions of the rates, service, schedules, or practices made by the commission ~~shall~~ **may** apply to one (1) or more of the public utilities **operating in this state or to any portion thereof; Indiana,** as directed by the commission, and ~~shall~~ take effect at the time and remain in force **only** for the ~~length of time prescribed by the commission.~~ **duration of the disaster emergency or the energy emergency, as applicable.**

(b) ~~The commission may adopt rules under IC 4-22-2 to carry out this section.~~

(b) **The declaration of a disaster emergency by the governor upon the recommendation of the commission under subsection (a) is subject to:**

(1) **the time limitations set forth in IC 10-14-3-12(b); and**

(2) **termination by the general assembly under IC 10-14-3-12(c).**

(c) **The proclamation of a state of energy emergency by the governor upon the recommendation of the commission under**



subsection (a) is subject to:

- (1) the time limitation set forth in IC 10-14-3-13(c); and
- (2) approval by the general assembly under IC 10-14-3-13(d) with respect to a second or subsequent renewal of the proclamation.

SECTION 5. IC 8-1-2-121, AS AMENDED BY P.L.181-2006, SECTION 48, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE UPON PASSAGE]: Sec. 121. (a) As used in this section, "electric or gas utility" includes a municipally owned, privately owned, or cooperatively owned utility.

(b) As used in this section, "electric utility" includes a privately owned or cooperatively owned utility.

(c) Notwithstanding any other provision of law, but subject to subsection (i), the following apply with respect to the termination of residential electric or gas service:

(1) An electric or gas utility may not terminate residential electric or gas service from December 1 through March 15 of any year no electric or gas utility, including a municipally owned, privately owned, or cooperatively owned utility, shall terminate residential electric or gas service for persons customers who are eligible for and have applied for assistance from a heating assistance program administered under IC 4-4-33.

(2) Subject to subsection (d), on any day for which a local weather forecast office of the National Weather Service has forecast, not earlier than forty-eight (48) hours in advance, a heat index of at least ninety-five (95) degrees Fahrenheit for a county or part of a county within an electric utility's assigned service area under IC 8-1-2.3, the electric utility may not terminate residential electric service for customers who:

(A) receive residential electric service from the electric utility at a location to which the forecasted heat index applies; and

(B) are eligible for and have applied for assistance under a heating assistance program administered under IC 4-4-33 during the calendar year in which the forecast is made.

For purposes of subdivision (1), the commission shall implement procedures to ensure that electric or gas utility service is continued while eligibility for such persons customers is being determined.

(d) If:

- (1) an electric utility has provided a notice of disconnection to a customer described in subsection (c)(2) before the local



weather forecast office of the National Weather Service forecasts a heat index described in subsection (c)(2) for the customer's service location; and

(2) the fourteen (14) day period following the issuance of the disconnection notice during which the electric utility is prohibited from terminating the customer's electric service under 170 IAC 4-1-16 would have elapsed on the forecasted date for the heat index to reach the level described in subsection (c)(2);

the fourteen (14) day period described in subdivision (2) is tolled until the first day that follows the day with respect to which the forecast was made and during which the forecasted heat index is not reached.

(e) Not later than June 1, 2026, an electric or gas utility shall post on the electric or gas utility's website a notice that:

(1) informs customers of the relief available to eligible customers under subsection (c); and

(2) includes:

(A) a toll free telephone number; or

(B) a link to a web page;

that a customer may call or access for information on how to apply for assistance from a heating assistance program administered under IC 4-4-33.

~~(b)~~ (f) Any An electric or gas utility including a municipally owned, privately owned, or cooperatively owned utility; shall provide any residential customer whose account is delinquent an opportunity to enter into a reasonable amortization agreement with such company to pay the delinquent account. Such an amortization agreement must provide the customer with adequate opportunity to apply for and receive the benefits of any available public assistance program. An amortization agreement is subject to amendment on the customer's request if there is a change in the customer's financial circumstances.

~~(e)~~ (g) The commission may establish a reasonable rate of interest which a utility may charge on the unpaid balance of a customer's delinquent bill that may not exceed the rate established by the commission under section 34.5 of this chapter.

~~(d)~~ (h) The commission shall adopt rules under IC 4-22-2 to carry out the provisions of this section.

~~(e)~~ (i) This section does not prohibit an electric or gas utility from terminating residential utility service upon a request of a customer or under the following circumstances:

(1) If a condition dangerous or hazardous to life, physical safety,



or property exists.

(2) Upon order by any court, the commission, or other duly authorized public authority.

(3) If fraudulent or unauthorized use of electricity or gas is detected and the utility has reasonable grounds to believe the affected customer is responsible for such use.

(4) If the utility's regulating or measuring equipment has been tampered with and the utility has reasonable grounds to believe that the affected customer is responsible for such tampering.

SECTION 6. IC 8-1-2.6-2, AS AMENDED BY P.L.107-2014, SECTION 2, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE UPON PASSAGE]: Sec. 2. (a) This section applies to rules and orders that:

(1) concern telecommunications service or providers of telecommunications service; and

(2) may be adopted or issued by the commission under the authority of state or federal law.

(b) Rules and orders described in this section:

(1) may be adopted or issued only after notice and hearing, unless:

(A) the commission ~~determines acts~~ in accordance with IC 8-1-2-113 ~~that an~~ **during a disaster** emergency ~~exists that is declared by the governor and~~ that requires the commission or a provider to take immediate action to:

(i) prevent injury to the business or interests of the citizens of Indiana; or

(ii) maintain a provider's financial integrity and ability to provide adequate basic telecommunications service;

(B) the commission is authorized under IC 8-1-2 to adopt a particular rule or issue a particular order without the necessity of a hearing; or

(C) after receiving notice of the commission's proposed action, all parties to a proceeding consent to the commission taking action without a hearing; and

(2) must be:

(A) consistent with this chapter; and

(B) in the public interest, as determined by the commission under subsection (d).

(c) Rules and orders described in this section must promote one (1) or more of the following:

(1) Cost minimization for providers to the extent that a provider's quality of service and facilities are not diminished.



(2) A more accurate evaluation by the commission of a provider's physical or financial conditions or needs as well as a less costly regulatory procedure for either the provider, the provider's customers, or the commission.

(3) Consumer access to affordable basic telecommunications service.

(4) Development of depreciation guidelines and procedures that recognize technological obsolescence.

(5) Increased provider management efficiency beneficial to customers.

(6) Regulation consistent with a competitive environment.

(d) In determining whether the public interest will be served, as required under subsection (b), the commission shall consider:

(1) whether technological change, competitive forces, or regulation by other state and federal regulatory bodies render the exercise of jurisdiction by the commission unnecessary or wasteful;

(2) whether the exercise of commission jurisdiction produces tangible benefits to the customers of providers; and

(3) whether the exercise of commission jurisdiction inhibits a regulated entity from competing with unregulated providers of functionally similar telecommunications services or equipment.

SECTION 7. IC 8-1-6.1 IS ADDED TO THE INDIANA CODE AS A NEW CHAPTER TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]:

Chapter 6.1. Quarterly Residential Customer Reports by Electricity Suppliers

Sec. 1. As used in this chapter, "levelized billing plan" has the meaning set forth in IC 8-1-2-4.7.

Sec. 2. As used in this chapter, "customer" refers to a residential customer who has agreed to pay for utility service from an electricity supplier.

Sec. 3. As used in this chapter, "electricity supplier" means a person, other than a municipally owned utility (as defined in IC 8-1-2-1(h)), that:

(1) provides utility service to customers in Indiana; and

(2) is under the jurisdiction of the commission for the approval of rates and charges.

Sec. 4. As used in this chapter, "office" refers to the office of utility consumer counselor created by IC 8-1-1.1-2.

Sec. 5. As used in this chapter, "payment plan" means a payment arrangement that:



(1) is entered into by an electricity supplier and a customer of the electricity supplier; and

(2) allows the customer to:

(A) pay current or past due amounts for utility service in lower amounts or over an extended period of time, or according to another agreed upon schedule;

(B) defer the payment of current or past due amounts for utility service to some future date; or

(C) receive a forbearance with respect to the payment of certain amounts owed.

Sec. 6. As used in this chapter, "protected account" means an account that is for utility service that is provided to a customer who is eligible for and has applied for assistance from a home energy assistance program administered under IC 4-4-33.

Sec. 7. As used in this chapter, "utility service" means residential electric service that is provided at retail.

Sec. 8. (a) An electricity supplier shall submit to the office quarterly reports containing the information set forth in this subsection with respect to the calendar quarter covered by the report. A report under this subsection shall be submitted to the office in the manner and form prescribed by the office and not later than thirty (30) days after the last day of the calendar quarter covered by the report. The first report submitted to the office under this subsection must cover the third calendar quarter of 2026. A report under this subsection must include the following information for each month in the calendar quarter covered by the report, including, to the extent available, a comparison of the same information for the same month of the immediately preceding calendar year:

(1) The total number of open customer accounts.

(2) The total number of customers who received assistance from a home energy assistance program administered under IC 4-4-33.

(3) The total number of open protected accounts for customers.

(4) The total number of open customer accounts that were delinquent for more than sixty (60) days.

(5) The total dollar amount owed with respect to the accounts identified under subdivision (4).

(6) The total number of payment plans entered into between the electricity supplier and customers of the electricity supplier.



(7) The total number of levelized billing plans applied to customer accounts.

(8) The total number of customer accounts sent a notice of disconnection for nonpayment.

(9) The total number of utility service disconnections performed for nonpayment.

(10) The total dollar value of customer accounts written off as uncollectible.

(b) An electricity supplier shall report all information and data required under subsection (a) in the aggregate and in a manner that does not identify individual customers of the electricity supplier.

(c) This section does not empower the office to require electricity suppliers to disclose confidential and proprietary business information without adequate protection of the information. The office shall exercise all necessary caution to avoid disclosure of any confidential information reported by electricity suppliers under this section.

Sec. 9. The office shall adopt guidelines to implement this chapter.

Sec. 10. Beginning in 2027, the office shall annually compile and summarize the information received from electricity suppliers under section 8 of this chapter for the previous calendar year and include the office's summary of the information in the office's annual report to the interim study committee on energy, utilities, and telecommunications.

SECTION 8. IC 8-1-32.4-15, AS AMENDED BY P.L.8-2012, SECTION 8, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE UPON PASSAGE]: Sec. 15. (a) The commission may ~~declare~~ **act** in accordance with IC 8-1-2-113 ~~that an~~ **during a disaster** emergency ~~exists in that is declared by the governor and that includes~~ an area in Indiana that is not served by any communications service provider offering voice service through any technology or medium. If the commission ~~declares an~~ **acts in accordance with IC 8-1-2-113 during a declared disaster** emergency, ~~under this section,~~ the commission may issue any order necessary to protect the health, safety, and welfare of affected residents or businesses and may expedite the availability of voice service to the affected residents or businesses.

(b) If the commission authorizes a communications service provider to offer voice service under this section, the commission shall permit the communications service provider to offer the voice service through any available technology or medium determined by the



communications service provider.

SECTION 9. IC 8-1-39-9, AS AMENDED BY P.L.89-2019, SECTION 3, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE UPON PASSAGE]: Sec. 9. (a) Subject to subsection (d), a public utility that provides electric or gas utility service may file with the commission rate schedules establishing a TDSIC that will allow the periodic automatic adjustment of the public utility's basic rates and charges to provide for timely recovery of eighty percent (80%) of approved capital expenditures and TDSIC costs. The petition must:

- (1) use the customer class revenue allocation factor based on firm load approved in the public utility's most recent retail base rate case order;
- (2) include the public utility's TDSIC plan for eligible transmission, distribution, and storage system improvements; and
- (3) identify projected effects of the plan described in subdivision (2) on retail rates and charges.

The public utility shall provide a copy of the petition to the office of the utility consumer counselor when the petition is filed with the commission.

(b) The public utility shall update the public utility's TDSIC plan under subsection (a)(2) at least annually. An update may include a petition for approval of:

- (1) a targeted economic development project under section 11 of this chapter; or
- (2) transmission, distribution, and storage system improvements not described in the public utility's TDSIC plan most recently approved by the commission under section 10 of this chapter.

(c) A public utility that recovers capital expenditures and TDSIC costs under subsection (a) shall defer the remaining twenty percent (20%) of approved capital expenditures and TDSIC costs, including depreciation, allowance for funds used during construction, and post in service carrying costs, and shall recover those capital expenditures and TDSIC costs as part of the next general rate case that the public utility files with the commission.

(d) Except as provided in section 15 of this chapter, a public utility may not file a petition under subsection (a) within nine (9) months after the date on which the commission issues an order changing the public utility's basic rates and charges with respect to the same type of utility service.

(e) **This subsection does not apply to an electricity supplier (as defined in IC 8-1-46-6) that:**

- (1) is subject to a multi-year rate plan under IC 8-1-46; or



(2) petitions the commission for approval of a multi-year rate plan under IC 8-1-46;

during the term of the electricity supplier's approved TDSIC plan.

A public utility that implements a TDSIC under this chapter shall, before the expiration of the public utility's approved TDSIC plan, petition the commission for review and approval of the public utility's basic rates and charges with respect to the same type of utility service.

(f) A public utility may file a petition under this section not more than one (1) time every six (6) months.

(g) Actual capital expenditures and TDSIC costs that exceed the approved capital expenditures and TDSIC costs require specific justification by the public utility and specific approval by the commission before being authorized for recovery in customer rates.

SECTION 10. IC 8-1-46 IS ADDED TO THE INDIANA CODE AS A NEW CHAPTER TO READ AS FOLLOWS [EFFECTIVE UPON PASSAGE]:

Chapter 46. Performance Based Ratemaking for Electricity Suppliers

Sec. 1. (a) As used in this chapter, "average monthly residential bill", with respect to an electricity supplier, means the average total monthly charges billed, over the course of a calendar year, to all customers receiving retail electric service under the electricity supplier's standard residential tariff.

(b) The term includes the following charges:

(1) Fixed service charges.

(2) Energy charges based on the amount of electricity provided to or consumed by the customer during the billing cycle.

(3) Additional charges or credits, including any applicable rate adjustment mechanisms approved by the commission.

(4) Taxes.

Sec. 2. As used in this chapter, "commission" refers to the Indiana utility regulatory commission created by IC 8-1-1-2.

Sec. 3. (a) As used this chapter, "customer", with respect to an electricity supplier, means a metered electrical service point:

(1) that is located at a specific location in Indiana; and

(2) for which an active billing account is established by the electricity supplier.

(b) As the context requires, the term includes the person of record who has agreed to pay for the retail electric service provided by the electricity supplier at the location described in subsection (a).



1 **Sec. 4. As used in this chapter, "customer affordability**
 2 **performance metric", with respect to an electricity supplier, means**
 3 **a metric that:**

- 4 **(1) is determined by the commission under section 23 of this**
 5 **chapter for a particular rate year included in that electricity**
 6 **supplier's multi-year rate plan;**
 7 **(2) is based on the most recent customer affordability**
 8 **performance report submitted to the commission by the**
 9 **electricity supplier under section 18 of this chapter; and**
 10 **(3) is used by the commission to establish a customer**
 11 **affordability PIM that applies to that rate year and provides**
 12 **financial rewards or penalties to the electricity supplier based**
 13 **on the electricity supplier's measured customer affordability**
 14 **performance.**

15 **Sec. 5. As used in this chapter, "customer average interruption**
 16 **duration index", or "CAIDI", means an index that:**

- 17 **(1) indicates the average time required to restore electric**
 18 **service to an electricity supplier's customers affected by**
 19 **sustained service interruptions; and**
 20 **(2) is calculated by determining the quotient of:**
 21 **(A) the sum of sustained service interruption durations in**
 22 **minutes for a specified period; divided by**
 23 **(B) the total number of customers affected by the sustained**
 24 **service interruptions;**
 25 **in accordance with IEEE 1366.**

26 **Sec. 6. (a) As used in this chapter, "electricity supplier" means**
 27 **a public utility (as defined in IC 8-1-2-1(a)) that:**

- 28 **(1) furnishes retail electric service to customers in Indiana;**
 29 **and**
 30 **(2) is under the jurisdiction of the commission for the**
 31 **approval of rates and charges.**

32 **(b) The term does not include:**

- 33 **(1) a municipally owned utility (as defined in IC 8-1-2-1(h));**
 34 **(2) a corporation organized under IC 8-1-13; or**
 35 **(3) a corporation organized under IC 23-17 that is an electric**
 36 **cooperative and that has at least one (1) member that is a**
 37 **corporation organized under IC 8-1-13.**

38 **Sec. 7. As used in this chapter, "IEEE 1366" refers to:**

- 39 **(1) the 2022 edition of IEEE 1366, IEEE Guide for Electric**
 40 **Power Distribution Reliability Indices, as adopted by the**
 41 **Institute of Electrical and Electronics Engineers; or**
 42 **(2) if the commission adopts a rule under IC 4-22-2 to amend:**



- (A) the 2022 edition; or
 - (B) any subsequent edition;
- of IEEE 1366, the version of IEEE 1366 as amended by the commission.

Sec. 8. As used in this chapter, "major event day", or "MED", means a day with respect to which an electricity supplier's daily system SAIDI exceeds a statistical threshold value that is:

- (1) calculated using the 2.5 Beta methodology developed by the Institute of Electrical and Electronics Engineers; and
- (2) based on the most recent five (5) years of relevant data for the electricity supplier;

as defined in IEEE 1366.

Sec. 9. As used in this chapter, "multi-year rate plan" means a ratemaking mechanism under which the commission sets an electricity supplier's base rates for a three (3) year period that includes:

- (1) authorized periodic changes in the electricity supplier's base rates; and
- (2) adjustments to the electricity supplier's base rates based on the electricity supplier's performance with respect to each performance incentive mechanism applicable to the electricity supplier;

during the three (3) year period, without requiring the electricity supplier to file a new base rate case with respect to the changes and adjustments.

Sec. 10. As used in this chapter, "performance based ratemaking" means an alternative ratemaking approach for electricity suppliers that includes one (1) or more performance incentive mechanisms in the context of a multi-year rate plan.

Sec. 11. As used in this chapter, "performance incentive mechanism", or "PIM", means a ratemaking mechanism that is approved by the commission and that:

- (1) links an electricity supplier's earnings to the electricity supplier's performance in targeted areas that are consistent with the provision of electric utility service with the attributes set forth in IC 8-1-2-0.6, including:

- (A) reliability;
- (B) affordability;
- (C) resiliency;
- (D) stability; and
- (E) environmental sustainability;

as described in IC 8-1-2-0.6; and



(2) is based on specific performance metrics against which the electricity supplier's performance is measured.

Sec. 12. As used in this chapter, "rate year" refers to a particular year in a multi-year rate plan with respect to which:

(1) authorized base rates; and

(2) adjustments to base rates, including adjustments based on an electricity supplier's performance in meeting performance metrics serving as the basis of all applicable PIMs;

are in effect.

Sec. 13. As used in this chapter, "service interruption" means the loss of electric service to one (1) or more customers connected to the distribution portion of an electricity supplier's system.

Sec. 14. As used in this chapter, "service restoration performance metric", with respect to an electricity supplier, means a metric that:

(1) is determined by the commission under section 24 of this chapter for a particular rate year included in that electricity supplier's multi-year rate plan;

(2) is based on the most recent service restoration performance report submitted to the commission by the electricity supplier under section 19 of this chapter; and

(3) is used by the commission to establish a service restoration PIM that applies to that rate year and provides financial rewards or penalties to the electricity supplier based on the electricity supplier's measured service restoration performance.

Sec. 15. (a) As used in this chapter, "sustained service interruption" means a service interruption that is at least five (5) minutes in duration.

(b) The term does not include the following, regardless of duration:

(1) A planned service interruption that is:

(A) initiated by an electricity supplier to perform scheduled activities, such as work related to:

(i) system or facilities maintenance or upgrades;

(ii) infrastructure improvements; or

(iii) new construction; and

(B) communicated to customers in advance.

(2) A curtailment or interruption of service to a customer receiving service under an interruptible service tariff to the extent that the curtailment or interruption of service occurs in accordance with the customer's service agreement.



1 **Sec. 16. As used in this chapter, "system average interruption**
 2 **duration index", or "SAIDI", means an index that:**

3 **(1) indicates the total duration of sustained service**
 4 **interruptions for an electricity supplier's average customer**
 5 **during a specified period; and**

6 **(2) is calculated by determining the quotient of:**

7 **(A) the sum of sustained service interruption durations in**
 8 **minutes for the specified period; divided by**

9 **(B) the total number of customers;**

10 **in accordance with IEEE 1366.**

11 **Sec. 17. As used in this chapter, "system average interruption**
 12 **frequency index", or "SAIFI", means an index that:**

13 **(1) indicates the number of sustained service interruptions an**
 14 **electricity supplier's average customer experiences over a**
 15 **specified period; and**

16 **(2) is calculated by determining the quotient of:**

17 **(A) the total number of customers that experienced**
 18 **sustained service interruptions over the specified period;**
 19 **divided by**

20 **(B) the total number of customers;**

21 **in accordance with IEEE 1366.**

22 **Sec. 18. Beginning in 2027, before March 1 of each year, an**
 23 **electricity supplier shall file with the commission, on a form**
 24 **prescribed by the commission, a customer affordability**
 25 **performance report that includes the following information:**

26 **(1) The electricity supplier's average monthly residential bill**
 27 **for each of the most recently concluded five (5) calendar**
 28 **years, normalized for weather if not otherwise normalized for**
 29 **weather through a rate adjustment mechanism described in**
 30 **section 1(b)(3) of this chapter.**

31 **(2) The average annual percentage change (rounded to the**
 32 **nearest one-tenth percent (0.1%)) in the electricity supplier's**
 33 **average monthly residential bill over the course of the most**
 34 **recently concluded five (5) calendar years, normalized for**
 35 **weather if not otherwise normalized for weather through a**
 36 **rate adjustment mechanism described in section 1(b)(3) of this**
 37 **chapter.**

38 **(3) For each of the most recently concluded five (5) calendar**
 39 **years, the annual percentage change in seasonally adjusted**
 40 **electricity prices for the United States as measured by the**
 41 **Consumer Price Index, as published by the United States**
 42 **Bureau of Labor Statistics.**



(4) The average annual percentage change (rounded to the nearest one-tenth percent (0.1%)) in seasonally adjusted electricity prices for the United States as measured by the Consumer Price Index, as published by the United States Bureau of Labor Statistics, over the course of the most recently concluded five (5) calendar years.

Sec. 19. Beginning in 2027, before March 1 of each year, an electricity supplier shall file with the commission, on a form prescribed by the commission, a service restoration performance report that includes the following information for each of the most recently concluded six (6) calendar years:

(1) Each of the following indices, reported to exclude major event days, for the electricity supplier's system in Indiana as a whole:

(A) SAIDI.

(B) SAIFI.

(C) CAIDI.

(2) Each of the following indices, reported to include major event days, for the electricity supplier's system in Indiana as a whole:

(A) SAIDI.

(B) SAIFI.

(C) CAIDI.

(3) The number of customers used by the utility in calculating each index required under subdivisions (1) and (2).

Sec. 20. (a) Except as otherwise provided in subsections (b) and (c), and subject to the schedule set forth in this section, an electricity supplier must petition the commission for approval of any change in its basic rates and charges through the submission of a multi-year rate plan in accordance with this chapter. An electricity supplier shall file its first petition with the commission for approval of a multi-year rate plan under this chapter according to the following schedule:

(1) After November 15, 2026, and before December 15, 2026, for the electricity supplier with the greatest number of Indiana customers.

(2) After June 30, 2027, and before August 1, 2027, for an electricity supplier with respect to which the commission has issued an order that:

(A) establishes basic rates and charges for the electricity supplier as part of a base rate case; and

(B) is issued after April 30, 2024, and before February 1,



- 1 **2025.**
- 2 **(3) After December 31, 2027, and before February 1, 2028, for**
- 3 **an electricity supplier with respect to which the commission**
- 4 **has issued an order that:**
- 5 **(A) establishes basic rates and charges for the electricity**
- 6 **supplier as part of a base rate case; and**
- 7 **(B) is issued after February 1, 2025, and before April 1,**
- 8 **2025.**
- 9 **(4) After June 30, 2028, and before August 1, 2028, for an**
- 10 **electricity supplier with respect to which the commission has**
- 11 **issued an order that:**
- 12 **(A) establishes basic rates and charges for the electricity**
- 13 **supplier as part of a base rate case; and**
- 14 **(B) is issued after June 1, 2025, and before July 1, 2025.**
- 15 **(5) After December 31, 2028, and before February 1, 2029, for**
- 16 **an electricity supplier with respect to which the commission**
- 17 **has issued an order that:**
- 18 **(A) establishes basic rates and charges for the electricity**
- 19 **supplier as part of a base rate case that is not part of a**
- 20 **multi-year rate plan under this chapter; and**
- 21 **(B) is issued after January 1, 2026.**
- 22 **(b) An electricity supplier may file its first petition with the**
- 23 **commission for approval of a multi-year rate plan under this**
- 24 **chapter before the beginning of the time frame that would**
- 25 **otherwise apply to the electricity supplier under subsection (a) if**
- 26 **the petition:**
- 27 **(1) requests approval of a reduction in the electricity**
- 28 **supplier's overall revenue requirement for the first rate year**
- 29 **of the multi-year rate plan;**
- 30 **(2) meets all requirements for a multi-year rate plan under**
- 31 **this chapter; and**
- 32 **(3) is filed with the commission not later than September 1,**
- 33 **2026.**
- 34 **(c) An electricity supplier may petition the commission for relief**
- 35 **for changes to the electricity supplier's basic rates and charges:**
- 36 **(1) after March 14, 2026; and**
- 37 **(2) before the beginning of the electricity supplier's applicable**
- 38 **time frame for filing the electricity supplier's first petition for**
- 39 **approval of multi-year rate plan under subsection (a).**
- 40 **However, the filing of a petition for relief under this subsection**
- 41 **does not exempt an electricity supplier from filing its first petition**
- 42 **for a multi-year rate plan under this chapter in accordance with**



the schedule set forth in subsection (a).

(d) An electricity supplier shall file its second petition and all subsequent petitions with the commission for approval of a multi-year rate plan under this chapter:

(1) not earlier than sixty (60) days before; and

(2) not later than thirty (30) days before;

the expiration of its then current multi-year rate plan.

Sec. 21. (a) The following apply to a multi-year rate plan under this chapter:

(1) An electricity supplier's petition for approval of a multi-year rate plan under this chapter must include the electricity supplier's:

(A) case in chief (as defined in IC 8-1-2-42.7(c), including the electricity supplier's proposed:

(i) revenue requirement; and

(ii) base rates for each customer class; and

(B) proposed test period using forward looking periods the close of which correspond with the end of the second and third rate years in the electricity supplier's multi-year rate plan;

for each of the rate years in the multi-year rate plan.

(2) The base rates for the first rate year of an electricity supplier's multi-year rate plan shall be established by the commission in the same manner that base rates would be established in a proceeding for a change in the electricity supplier's basic rates and charges that occurs outside of a multi-year rate plan, based on an appropriate test year under IC 8-1-2-42.7(e) used to determine the electricity supplier's actual and pro forma operating revenues, expenses, and operating income under current and proposed rates, adjusted for changes that are fixed, known, and measurable for ratemaking purposes and that occur within a reasonable time after the end of the test year.

(3) The base rates for the second and third rate years of an electricity supplier's multi-year rate plan shall be established using:

(A) changes in the electricity supplier's net plant in service from the end of the immediately preceding rate year, including any difference between:

(i) actual net plant in service at the end of the rate year;

and

(ii) the projected net plant in service used in the



electricity supplier's test period for that rate year; and
 (B) changes in the net balance of any regulatory asset or
 liability from the end of the immediately preceding rate
 year.

As used in this subdivision, "net plant in service" refers to
 both utility plant in service and accumulated depreciation.

(4) In establishing an electricity supplier's authorized return
 for the electricity supplier's multi-year rate plan, the
 commission shall consider any increased or decreased risk to:

(A) the electricity supplier; and

(B) the electricity supplier's ratepayers;

that may result from the implementation of the multi-year
 rate plan.

(5) For each rate year in an electricity supplier's multi-year
 rate plan, the following apply:

(A) A customer affordability performance metric that:

(i) is determined by the commission under section 23 of
 this chapter for that rate year;

(ii) is based on the most recent customer affordability
 performance report submitted to the commission by the
 electricity supplier under section 18 of this chapter; and
 (iii) is used by the commission to establish a customer
 affordability PIM that applies to that rate year.

(B) A customer affordability PIM that:

(i) is based on the electricity supplier's performance in
 meeting the customer affordability performance metric
 described in clause (A); and

(ii) provides financial rewards or penalties to the
 electricity supplier based on that performance in
 accordance with section 23 of this chapter.

(C) A service performance restoration metric that:

(i) is determined by the commission under section 24 of
 this chapter for that rate year;

(ii) is based on the most recent service restoration
 performance report submitted to the commission by the
 electricity supplier under section 19 of this chapter; and
 (iii) is used by the commission to establish a service
 restoration PIM that applies to that rate year.

(D) A service restoration PIM that:

(i) is based on the electricity supplier's performance in
 meeting the service restoration performance metric
 described in clause (C); and



(ii) provides financial rewards or penalties to the electricity supplier based on that performance in accordance with section 24 of this chapter.

(b) An electricity supplier's petition for approval of a multi-year rate plan under this chapter may include alternative regulatory practices, procedures, accounting treatments, and mechanisms that are consistent with this chapter.

(c) A multi-year rate plan under this chapter shall be considered separately by the commission from all:

(1) rate adjustment mechanisms, including the fuel adjustment charge under IC 8-1-2-42; and

(2) other cost recovery mechanisms;

otherwise allowed by law, unless otherwise incorporated into the multi-year rate plan. In an electricity supplier's first petition for a multi-year rate plan under this chapter, the electricity supplier shall include a plan to incorporate planned capital expenditures, subject to preapproval by the commission, into the electricity supplier's subsequent multi-year rate plans under this chapter.

(d) An electricity supplier may elect to:

(1) exclude from its proposed multi-year rate plan; and

(2) defer for consideration by the commission and for future recovery;

costs incurred or to be incurred in a regulatory asset, to the extent those specific costs are incremental and are not otherwise already included for recovery in the electricity supplier's rates, as authorized by IC 8-1-2-10.

Sec. 22. (a) The commission shall approve a multi-year rate plan for an electricity supplier under this chapter if, after notice and hearing, the commission finds the following:

(1) That the electricity supplier's rates under the multi-year rate plan are just and reasonable.

(2) That the multi-year rate plan reasonably assures the continuation of safe and reliable electric service for the electricity supplier's customers.

(3) That the multi-year rate plan will not unreasonably prejudice any class of the electricity supplier's customers and will not result in sudden substantial rate increases to the electricity supplier's customers or any class of customers.

(4) That the multi-year rate plan:

(A) will result in just and reasonable rates;

(B) is in the public interest; and

(C) is consistent with the requirements set forth in this



1 chapter and in the rules adopted by the commission under
2 section 27 of this chapter.

3 (5) That the multi-year rate plan meets any other legal
4 requirement.

5 (b) At any time before the expiration of an electricity supplier's
6 approved multi-year rate plan under this chapter, the commission
7 may, with good cause and upon its own motion, or at the request of
8 the office of utility consumer counselor or the electricity supplier
9 do any of the following:

10 (1) Examine the reasonableness of the electricity supplier's
11 rates under the multi-year rate plan.

12 (2) Conduct periodic reviews with opportunities for public
13 hearings and comments from interested parties.

14 (3) Initiate a proceeding to adjust the base rates or PIMs
15 under the multi-year rate plan as necessary to ensure that the
16 multi-year rate plan continues to satisfy the criteria set forth
17 in subsection (a).

18 Sec. 23. (a) For each rate year in an electricity supplier's
19 multi-year rate plan, the commission shall determine a customer
20 affordability performance metric for that electricity supplier by
21 calculating the difference between:

22 (1) the average annual percentage change (rounded to nearest
23 one-tenth percent (0.1%)) in the electricity supplier's average
24 monthly residential bill over the course of the most recently
25 concluded five (5) calendar years (normalized for weather if
26 not otherwise normalized for weather through a rate
27 adjustment mechanism described in section 1(b)(3) of this
28 chapter); minus

29 (2) the average annual percentage change (rounded to nearest
30 one-tenth percent (0.1%)) in seasonally adjusted electricity
31 prices for the United States as measured by the Consumer
32 Price Index, as published by the United States Bureau of
33 Labor Statistics, over the course of the most recently
34 concluded five (5) calendar years;

35 as reported in the most recent customer affordability performance
36 report submitted to the commission by the electricity supplier
37 under section 18 of this chapter. The difference calculated under
38 this subsection is the electricity supplier's customer affordability
39 performance metric for the rate year.

40 (b) If the electricity supplier's customer affordability
41 performance metric under subsection (a) is a positive number that
42 exceeds two (2) percentage points, the commission shall adjust the



1 electricity supplier's authorized return for the rate year downward
2 by not more than one (1) basis point.

3 (c) If the electricity supplier's customer affordability
4 performance metric under subsection (a) is a negative number that
5 when multiplied by negative one (-1) exceeds two (2) percentage
6 points, the commission shall adjust the electricity supplier's
7 authorized return for the rate year upward by not more than one
8 (1) basis point.

9 Sec. 24. (a) For each rate year included in an electricity
10 supplier's multi-year rate plan, the commission shall determine,
11 using the most recent service restoration performance report
12 submitted to the commission by the electricity supplier under
13 section 19 of this chapter, a service restoration performance metric
14 for that electricity supplier in the following manner:

15 STEP ONE: Determine the electricity supplier's average
16 SAIDI over the course of the five (5) calendar years
17 immediately preceding the most recently concluded calendar
18 year, including major event days, for the electricity supplier's
19 system in Indiana as a whole.

20 STEP TWO: Determine the electricity supplier's SAIDI for
21 the most recently concluded calendar year, including major
22 event days, for the electricity supplier's system in Indiana as
23 a whole.

24 STEP THREE: Calculate the difference between the STEP
25 ONE result minus the STEP TWO result.

26 STEP FOUR: Calculate the quotient of the STEP THREE
27 result divided by the STEP ONE result, rounded to the
28 nearest one-hundredth (0.01).

29 STEP FIVE: Calculate the product of one hundred (100)
30 multiplied by the STEP FOUR result. This product is the
31 electricity supplier's service restoration performance metric
32 for the rate year.

33 (b) If the electricity supplier's service restoration performance
34 metric under subsection (a) is a positive number that exceeds five
35 (5), the commission shall adjust the electricity supplier's authorized
36 return for the rate year upward by not more than one-half (0.50)
37 basis point.

38 (c) If the electricity supplier's service restoration performance
39 metric under subsection (a) is a negative number that when
40 multiplied by negative one (-1) exceeds five (5), the commission
41 shall adjust the electricity supplier's authorized return for the rate
42 year downward by not more than one-half (0.50) basis point.



1 **Sec. 25. (a) Beginning in 2029, the commission shall include in**
 2 **the annual report that the commission is required to submit under**
 3 **IC 8-1-1-14 before October 1 of each year the following**
 4 **information as of the last day of the most recently concluded state**
 5 **fiscal year:**

6 **(1) For each electricity supplier that is subject to this chapter,**
 7 **the date of the electricity supplier's most recently filed**
 8 **petition for approval of a multi-year rate plan under this**
 9 **chapter.**

10 **(2) For each petition listed under subdivision (1):**

11 **(A) the date of the commission's final order approving the**
 12 **multi-year rate plan; or**

13 **(B) if the petition is pending before the commission, the**
 14 **procedural status of the petition.**

15 **(3) For each electricity supplier that is subject to this chapter,**
 16 **the beginning and end dates of the electricity supplier's**
 17 **current multi-year rate plan under this chapter, to the extent**
 18 **applicable in a report submitted under this section before**
 19 **2030.**

20 **(4) For each electricity supplier that is subject to this chapter,**
 21 **the electricity supplier's calculated:**

22 **(A) customer affordability performance metric; and**

23 **(B) service restoration performance metric;**

24 **for the current rate year in the electricity supplier's**
 25 **multi-year rate plan under this chapter, to the extent**
 26 **applicable in a report submitted under this section before**
 27 **2030.**

28 **(5) For each electricity supplier that is subject to this chapter,**
 29 **any available data as to the impact on customer rates of the**
 30 **electricity supplier's applicable:**

31 **(A) customer affordability performance metric; and**

32 **(B) service restoration performance metric;**

33 **during the most recently concluded rate year under a**
 34 **multi-year rate plan of the electricity supplier under this**
 35 **chapter.**

36 **(6) Any other quantitative or qualitative information that the**
 37 **commission considers relevant for members of:**

38 **(A) the interim study committee on energy, utilities, and**
 39 **telecommunications established by IC 2-5-1.3-4(8); and**

40 **(B) the general assembly;**

41 **to consider in evaluating multi-year rate plans under this**
 42 **chapter.**



(b) Subject to subsection (c), an electricity supplier shall provide the commission, at the time and in the manner prescribed by the commission, any information or related materials required by the commission to fulfill the commission's reporting obligations under subsection (a).

(c) Upon request by an electricity supplier, the commission shall determine whether any information or related materials required by the commission under subsection (b):

- (1) are confidential under IC 5-14-3-4;
- (2) are exempt from public access and disclosure by Indiana law; and
- (3) must be treated as confidential and protected from public access and disclosure by the commission.

Sec. 26. After March 14, 2026, any reference in IC 8-1, or in rules adopted by the commission, to:

- (1) a "base rate case";
- (2) a "general rate case";
- (3) a proceeding for a change or increase in "basic rates and charges"; or
- (4) words of similar import;

with respect to an electricity supplier subject to this chapter is considered a reference to the establishment of the electricity supplier's basic rates and charges for the first year of the electricity supplier's multi-year rate plan under this chapter.

Sec. 27. The commission shall adopt rules under IC 4-22-2 to implement this chapter.

SECTION 11. IC 8-1-47 IS ADDED TO THE INDIANA CODE AS A NEW CHAPTER TO READ AS FOLLOWS [EFFECTIVE UPON PASSAGE]:

Chapter 47. Low Income Customer Assistance Programs for Electric Utility Service

Sec. 1. As used in this chapter, "electricity supplier" means a person, other than a municipally owned utility (as defined in IC 8-1-2-1(h)), that:

- (1) provides utility service to customers; and
- (2) is under the jurisdiction of the commission for the approval of rates and charges.

Sec. 2. (a) As used in this chapter, "eligible program costs" means costs that are associated with an electricity supplier's low income customer assistance program and that:

- (1) have been incurred, or are reasonably estimated to be incurred, by the electricity supplier in administering the low



income customer assistance program, including administrative activities involving:

- (A) customer eligibility verification;
- (B) billing services; and
- (C) contribution management; and

(2) have not been and will not be recovered by the electricity supplier through contributions of any money, services, or property that have been or will be provided at no cost to the electricity supplier by or through any:

- (A) governmental agency or program; or
- (B) other third party, including voluntary charitable contributions from nonprofit organizations or from employees, customers, or shareholders of the electricity supplier;

in support of the program.

(b) The term does not include lost revenues associated with an electricity supplier's low income customer assistance program.

Sec. 3. As used in this chapter, "low income customer" refers to a residential customer who is part of a household that:

- (1) has agreed to pay for utility service from an electricity supplier; and
- (2) is eligible for and has applied for assistance from a home energy assistance program administered under IC 4-4-33.

Sec. 4. As used in this chapter, "utility service" means electric service that is provided at retail to customers.

Sec. 5. (a) Not later than July 1, 2026, an electricity supplier shall offer a low income customer assistance program that provides financial assistance to low income customers for the payment of monthly bills for utility service provided by the electricity supplier. A program that:

- (1) is offered by the electricity supplier before July 1, 2026;
- (2) provides financial assistance to low income customers for the payment of monthly bills for utility service provided by the electricity supplier;
- (3) remains in effect on July 1, 2026; and
- (4) includes eligibility criteria consistent with section 3(2) of this chapter;

qualifies as a low income customer assistance program for purposes of this section.

(b) Subject to subsection (c), an electricity supplier may establish:

- (1) per customer funding limits;



1 (2) enrollment limits; or
 2 (3) other limits, caps, or restrictions;
 3 applicable to the low income customer assistance program based
 4 on funds available for the program from governmental agencies or
 5 programs or from other third parties, including voluntary
 6 charitable contributions from nonprofit organizations or from
 7 employees, customers, or shareholders of the electricity supplier.

8 (c) If at any time during a calendar year:

9 (1) an electricity supplier is no longer able to offer assistance
 10 to additional eligible customers under the electricity
 11 supplier's low income customer assistance program as a result
 12 of any limit, cap, or restriction established under subsection
 13 (b); and
 14 (2) the full amount allocated or to be allocated to the program
 15 under section 6(1) of this chapter has not been allocated to low
 16 income customers enrolled in the program at the time the
 17 limit, cap, or restriction is reached;
 18 the portion of the amount allocated or to be allocated to the
 19 program under section 6(1) of this chapter that has not been
 20 allocated to low income customers enrolled in the program at the
 21 time the limit, cap, or restriction is reached shall be segregated
 22 from all other funds of the electricity supplier and held in trust for
 23 allocation to low income customers enrolled in the electricity
 24 supplier's low income customer assistance program in the
 25 following calendar year.

26 Sec. 6. Beginning in 2027, not later than March 1 of each year,
 27 an electricity supplier shall fund the electricity supplier's low
 28 income customer assistance program in an amount equal to:

29 (1) at least two-tenths percent (0.2%) of the electricity
 30 supplier's jurisdictional revenues for residential customers;
 31 plus

32 (2) any contributions from:

33 (A) governmental agencies or programs; or

34 (B) other third parties, including voluntary charitable
 35 contributions from nonprofit organizations or from
 36 employees, customers, or shareholders of the electricity
 37 supplier.

38 Sec. 7. (a) In each residential customer bill issued by an
 39 electricity supplier after June 30, 2026, the electricity supplier
 40 must include a notice that:

41 (1) informs customers that the electricity supplier offers a low
 42 income customer assistance program for eligible customers;



1 and

2 (2) includes:

3 (A) a toll free telephone number; or

4 (B) a link to a web page;

5 that a customer may call or access for information on how to
6 apply for assistance under the program.

7 (b) Not later than July 1, 2026, the electricity supplier shall post
8 the information described in subsection (a)(1) and (a)(2) on the
9 electricity supplier's website. If at any time during a calendar year,
10 the electricity supplier is no longer able to offer assistance to
11 additional eligible customers under the electricity supplier's low
12 income customer assistance program as a result of any:

13 (1) per customer funding limits;

14 (2) enrollment limits; or

15 (3) other limits, caps, or restrictions;

16 established by the electricity supplier under section 5(b) of this
17 chapter, the electricity supplier shall include on its website a
18 statement notifying customers of that fact. If the electricity
19 supplier is subsequently able to enroll new eligible customers in the
20 program during that calendar year, the electricity supplier shall
21 remove the previously posted statement from its website and post
22 a new statement indicating that the program is again accepting
23 new applications for assistance.

24 Sec. 8. If a customer:

25 (1) applies for assistance under an electricity supplier's low
26 income customer assistance program; and

27 (2) qualifies as a low income customer under section 3(2) of
28 this chapter;

29 the electricity supplier shall enroll the customer in the program, to
30 the extent the electricity supplier is able to do so under any per
31 customer funding limits, enrollment limits, or other limits, caps, or
32 restrictions established by the electricity supplier under section
33 5(b) of this chapter and applicable at the time of the customer's
34 application.

35 Sec. 9. (a) An electricity supplier may, but is not required to,
36 petition the commission for approval to recover eligible program
37 costs. An electricity supplier may file a petition with the
38 commission under this section:

39 (1) as part of a base rate case; or

40 (2) at any time as part of an independent proceeding in which
41 the electricity supplier petitions the commission to recover
42 eligible program costs on a timely basis through a periodic



rate adjustment mechanism.

(b) A petition under subsection (a)(2) for approval of a rate schedule that periodically adjusts the electricity supplier's rates and charges to provide for the timely recovery of eligible program costs must include the following for a twelve (12) month period set forth in the electricity supplier's petition:

(1) A description of any money, services, or property that has been or will be provided at no cost to the electricity supplier by or through any:

(A) governmental agency or program; or

(B) other third party, including voluntary charitable contributions from nonprofit organizations or from employees, customers, or shareholders of the electricity supplier;

in support of the low income customer assistance program, including the actual or estimated amount or value of the money, services, or property described.

(2) A statement of any amounts that have been or will be allocated or contributed to the electricity supplier's low income customer assistance program under section 6 of this chapter.

(3) A breakdown of eligible program costs that have been or will be incurred by the electricity supplier, including the:

(A) amounts; and

(B) purposes;

for which they have been or will be incurred.

A rate schedule proposed by an electricity supplier under this subsection may be based in whole or in part on reasonable cost forecasts over all or any part of the twelve (12) month period on which the electricity supplier's petition is based, subject to the commission's consideration of the electricity supplier's historical forecasting accuracy. If forecasted data is used, the proposed rate schedule must provide for a reconciliation mechanism to correct for any variance between the forecasted eligible program costs and the actual eligible program costs incurred.

(c) Subject to subsection (d), if after reviewing an electricity supplier's petition under subsection (a)(2), the commission determines that:

(1) the electricity supplier has incurred or will incur eligible program costs that are reasonable in amount;

(2) notwithstanding section 10 of this chapter, the effect or the potential effect, in both the long and short term, of the



1 proposed rate schedule on the electric rates of
 2 nonparticipating customers or other customer classes of the
 3 electricity supplier will be minimal; and

4 (3) approval of the proposed rate schedule is in the public
 5 interest;

6 the commission shall approve the electricity supplier's proposed
 7 rate schedule under subsection (b).

8 (d) The commission may not approve a rate schedule under
 9 subsection (b) that would result in an average aggregate increase
 10 in an electricity supplier's total retail revenues of more than two
 11 percent (2%) with respect to the twelve (12) month period on
 12 which the electricity supplier's proposed rate schedule is based. If
 13 an electricity supplier incurs eligible program costs in connection
 14 with the electricity supplier's low income customer assistance
 15 program that exceed the limit set forth in this subsection, the
 16 electricity supplier may seek to recover those eligible program
 17 costs in the electricity supplier's next base rate case.

18 Sec. 10. A low income customer assistance program offered
 19 under this chapter that affects rates and charges for service is not
 20 discriminatory for purposes of this chapter or any other law
 21 regulating rates and charges for service.

22 Sec. 11. (a) Beginning in 2027, the commission shall include in
 23 the annual report that the commission is required to submit under
 24 IC 8-1-1-14 before October 1 of each year the following
 25 information for each electricity supplier with respect to the most
 26 recently concluded state fiscal year:

27 (1) The number of low income customers enrolled in the
 28 electricity supplier's low income customer assistance program
 29 at the beginning and end of the state fiscal year.

30 (2) The total amount of assistance provided to low income
 31 customers under the electricity supplier's program.

32 (3) The median amount of assistance provided to each
 33 customer under the electricity supplier's program.

34 (4) Subject to subsection (c), an identification of the sources
 35 and amounts of any money, services, or property contributed
 36 to the electricity supplier's program by or through:

37 (A) governmental agencies or programs; or

38 (B) other third parties, including voluntary charitable
 39 contributions from nonprofit organizations or from
 40 employees, customers, or shareholders of the electricity
 41 supplier.

42 (5) An identification of the amounts of any:



- 1 (A) per customer funding limits;
- 2 (B) enrollment limits; or
- 3 (C) other limits, caps, or restrictions;
- 4 established by the electricity supplier under section 5(b) of
- 5 this chapter, along with information as to whether and when
- 6 any such limits, caps, or restrictions were reached or applied
- 7 during the state fiscal year.
- 8 (b) Subject to subsection (c), an electricity supplier shall provide
- 9 the commission, at the time and in the manner prescribed by the
- 10 commission, any information required under subsection (a) to be
- 11 included in the commission's annual report.
- 12 (c) Upon request by an electricity supplier, the commission shall
- 13 determine whether any information and related materials
- 14 described in subsection (a):
- 15 (1) are confidential under IC 5-14-3-4;
- 16 (2) are exempt from public access and disclosure by Indiana
- 17 law; and
- 18 (3) must be treated as confidential and protected from public
- 19 access and disclosure by the commission.
- 20 In addition, an electricity supplier is not required to name
- 21 individual third party donors under subsection (a)(4) and may
- 22 instead report the types of third party organizations and
- 23 individuals that contributed to the electricity supplier's program
- 24 and the amounts contributed by each type.
- 25 Sec. 12. The commission shall adopt rules under IC 4-22-2 to
- 26 implement this chapter.
- 27 SECTION 12. [EFFECTIVE UPON PASSAGE] (a) As used in this
- 28 SECTION, "commission" refers to the Indiana utility regulatory
- 29 commission created by IC 8-1-1-2.
- 30 (b) Not later than May 1, 2026, the commission shall amend the
- 31 following rules of the commission as necessary to conform the rules
- 32 with IC 8-1-2-121, as amended by this act:
- 33 (1) 170 IAC 4.
- 34 (2) Any other rule that:
- 35 (A) has been adopted by the commission; and
- 36 (B) is inconsistent with IC 8-1-2-121, as amended by this
- 37 act.
- 38 (c) This SECTION expires January 1, 2027.
- 39 SECTION 13. [EFFECTIVE UPON PASSAGE] (a) Before
- 40 January 1, 2027, the commission shall amend 170 IAC 4-1-23 as
- 41 necessary to conform 170 IAC 4-1-23 to the requirements of
- 42 IC 8-1-46, as added by this act.



1 **(b) This SECTION expires January 2, 2027.**
2 **SECTION 14. An emergency is declared for this act.**



COMMITTEE REPORT

Mr. Speaker: Your Committee on Utilities, Energy and Telecommunications, to which was referred House Bill 1002, has had the same under consideration and begs leave to report the same back to the House with the recommendation that said bill be amended as follows:

- Page 1, line 3, delete ""budget" and insert ""**levelized**".
- Page 2, line 15, delete "budget" and insert "**levelized**".
- Page 2, line 19, delete "budget" and insert "**levelized**".
- Page 2, line 23, delete "budget" and insert "**levelized**".
- Page 2, line 24, delete "budget" and insert "**levelized**".
- Page 2, line 27, delete "budget" and insert "**levelized**".
- Page 2, line 29, delete "budget" and insert "**levelized**".
- Page 2, line 30, delete "budget" and insert "**levelized**".
- Page 2, line 32, delete "least" and insert "**such**".
- Page 2, line 33, delete "two (2)".
- Page 2, line 35, delete "customers." and insert "**customers, but not more than two (2) times during a calendar year.**".
- Page 2, line 40, delete "budget" and insert "**levelized**".
- Page 3, line 1, delete "budget" and insert "**levelized**".
- Page 3, line 22, delete "budget" and insert "**levelized**".
- Page 3, line 23, delete "budget" and insert "**levelized**".
- Page 3, line 34, delete "budget" and insert "**levelized**".
- Page 3, line 35, delete "budget" and insert "**levelized**".
- Page 3, between lines 36 and 37, begin a new paragraph and insert:
"(h) Except as provided in subsection (i), an electricity supplier may not refer to or promote a levelized billing plan required under this section as a "budget billing plan" in:
 - (1) the information required to be posted on the electricity supplier's website under subsection (g);**
 - (2) any customer bill that is issued after June 30, 2026; or**
 - (3) any customer or external communications made after June 30, 2026.**
- (i) The prohibition set forth in subsection (h) does not apply with respect to a billing plan that provides for levelized payments if the plan also allows a customer to:**
 - (1) pay current or past due amounts for utility service in lower amounts, over an extended period of time, or according to another schedule agreed upon by the electricity supplier and the customer;**
 - (2) defer the payment of current or past due amounts for**



utility service to some future date; or

(3) receive a forbearance with respect to the payment of certain amounts owed."

Page 3, line 37, delete "(h)" and insert "(j)".

Page 3, line 41, delete "This section does" and insert "**Subsections (g) and (j) do**".

Page 6, between lines 15 and 16, begin a new paragraph and insert:

"SECTION 3. IC 8-1-2-113, AS AMENDED BY P.L.93-2024, SECTION 65, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE UPON PASSAGE]: Sec. 113. (a) **Subject to subsections (b) and (c)**, the commission may, when it considers it necessary to prevent injury to the business or interests of the people ~~of~~, or any public utility ~~of this state operating in, Indiana in ease the event~~ of any emergency ~~to be judged by the commission; that results from:~~

(1) a national economic depression;

(2) an act of war; or

(3) a disaster of unprecedented size and destructiveness resulting from manmade or natural causes;

recommend that the governor declare a disaster emergency under IC 10-14-3-12 or proclaim a state of energy emergency under IC 10-14-3-13, as applicable, during which the commission may temporarily alter, amend, or with the consent of the public utility concerned, suspend any existing rates, service, practices, schedules, and order or orders relating to or affecting any public utility or part of any public utility operating in this state: Indiana. The alterations, amendments, or suspensions of the rates, service, schedules, or practices made by the commission ~~shall~~ may apply to one (1) or more of the public utilities **operating in this state or to any portion thereof; Indiana**, as directed by the commission, and ~~shall~~ take effect at the time and remain in force **only** for the ~~length of time prescribed by the commission. duration of the disaster emergency or the energy emergency, as applicable.~~

~~(b) The commission may adopt rules under IC 4-22-2 to carry out this section.~~

(b) The declaration of a disaster emergency by the governor upon the recommendation of the commission under subsection (a) is subject to:

(1) the time limitations set forth in IC 10-14-3-12(b); and

(2) termination by the general assembly under IC 10-14-3-12(c).

(c) The proclamation of a state of energy emergency by the governor upon the recommendation of the commission under



subsection (a) is subject to:

- (1) the time limitation set forth in IC 10-14-3-13(c); and
- (2) approval by the general assembly under IC 10-14-3-13(d) with respect to a second or subsequent renewal of the proclamation."

Page 6, delete lines 24 through 31.

Page 6, line 32, delete "(d)" and insert "(c)".

Page 6, line 33, delete "(i), the following apply with respect to the termination" and insert "(h)".

Page 6, delete line 34.

Page 6, line 35, delete "(1) An" and insert "an".

Page 6, run in lines 33 through 35.

Page 6, line 36, after "15" insert "**or, in the case of an electric utility, from June 1 through September 23**".

Page 6, run in line 41 through page 7, line 18.

Page 6, delete line 42.

Page 7, delete lines 1 through 17.

Page 7, line 18, delete "For purposes of subdivision (1), the" and insert "The".

Page 7, delete lines 21 through 33, begin a new paragraph and insert:

"(d) Not later than June 1, 2026, an electric or gas utility shall post on the electric or gas utility's website a notice that:

- (1) informs customers of the relief available to eligible customers under subsection (c); and**
- (2) includes:**

(A) a toll free telephone number; or

(B) a link to a web page;

that a customer may call or access for information on how to apply for assistance from a heating assistance program administered under IC 4-4-33."

Page 7, line 34, delete "(f)" and insert "(e)".

Page 8, line 1, delete "(g)" and insert "(f)".

Page 8, line 5, delete "(h)" and insert "(g)".

Page 8, line 7, delete "(i)" and insert "(h)".

Page 8, between lines 19 and 20, begin a new paragraph and insert:
"SECTION 5. IC 8-1-6.1 IS ADDED TO THE INDIANA CODE AS A NEW CHAPTER TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]:

Chapter 6.1. Quarterly Residential Customer Reports by Electricity Suppliers

Sec. 1. As used in this chapter, "budget billing arrangement"



means a levelized payment plan, however denominated, that:

- (1) applies to a customer's account with an electricity supplier;
- (2) provides for the payment of a customer's bill in equal monthly installments; and
- (3) involves a reconciliation mechanism in which:
 - (A) the amount of utility service actually used by the customer during a specified period is compared with the amount of utility service for which the customer was billed under the plan during the specified period; and
 - (B) the customer's account is either billed or credited, as appropriate, for any difference identified under clause (A).

Sec. 2. As used in this chapter, "customer" refers to a residential customer who has agreed to pay for utility service from an electricity supplier.

Sec. 3. As used in this chapter, "electricity supplier" means a person, however organized, that:

- (1) provides utility service to customers in Indiana; and
- (2) is under the jurisdiction of the commission for the approval of rates and charges.

Sec. 4. As used in this chapter, "office" refers to the office of utility consumer counselor created by IC 8-1-1.1-2.

Sec. 5. As used in this chapter, "payment plan" means a payment arrangement that:

- (1) is entered into by an electricity supplier and a customer of the electricity supplier; and
- (2) allows the customer to:
 - (A) pay current or past due amounts for utility service in lower amounts or over an extended period of time, or according to another agreed upon schedule;
 - (B) defer the payment of current or past due amounts for utility service to some future date; or
 - (C) receive a forbearance with respect to the payment of certain amounts owed.

Sec. 6. As used in this chapter, "protected account" means an account that:

- (1) is for utility service that:
 - (A) is provided to a customer who is vulnerable because of advanced age, serious illness, or disability; and
 - (B) is not subject to termination or disconnection for nonpayment or for which termination or disconnection for nonpayment is restricted during specified periods; or



(2) otherwise qualifies as a protected account under guidelines adopted by the office under section 9 of this chapter.

Sec. 7. As used in this chapter, "utility service" means residential electric service that is provided at retail.

Sec. 8. (a) An electricity supplier shall submit to the office quarterly reports containing the information set forth in this subsection with respect to the calendar quarter covered by the report. A report under this subsection shall be submitted to the office in the manner and form prescribed by the office and not later than thirty (30) days after the last day of the calendar quarter covered by the report. The first report submitted to the office under this subsection must cover the third calendar quarter of 2026. A report under this subsection must include the following information for each month in the calendar quarter covered by the report, including, to the extent available, a comparison of the same information for the same month of the immediately preceding calendar year:

- (1) The total number of open customer accounts.
- (2) The total amount billed by the electricity supplier for all open customer accounts.
- (3) The total gross receipts received by the electricity supplier for all open customer accounts.
- (4) Of the total amount of gross receipts reported under subdivision (3), the total amount that was paid through a home energy assistance program administered under IC 4-4-33.
- (5) The total number of customers who received assistance from a home energy assistance program administered under IC 4-4-33.
- (6) The total number of open protected accounts for customers.
- (7) The total number of open customer accounts that were delinquent for at least sixty (60) days and not more than ninety (90) days.
- (8) The total dollar amount owed with respect to the accounts identified under subdivision (7).
- (9) The total number of open customer accounts that were delinquent for more than ninety (90) days.
- (10) The total dollar amount owed with respect to the accounts identified under subdivision (9).
- (11) The total number of customer accounts referred for collection to an attorney or a collection agency.



(12) The total number of new payment plans entered into between the electricity supplier and customers of the electricity supplier.

(13) The total number of new budget billing plans applied to customer accounts.

(14) The total number of customer accounts sent a notice of disconnection for nonpayment.

(15) The total number of utility service disconnections performed for nonpayment.

(16) The total number of utility service restorations after disconnection for nonpayment.

(17) The average duration of utility service disconnection for customer accounts identified under subdivision (16).

(18) The total number of customer accounts written off as uncollectible.

(19) The total dollar value of customer accounts identified under subdivision (18).

(20) The total dollar value of recovered bad debt with respect to customer accounts.

(21) Any other relevant information concerning customer accounts that the office:

(A) considers appropriate in evaluating:

(i) the payment history of customers; and

(ii) the billing and related practices of electricity suppliers with respect to customers; and

(B) requires under guidelines adopted under section 9 of this chapter.

(b) An electricity supplier shall report all information and data required under subsection (a) in the aggregate and in a manner that does not identify individual customers of the electricity supplier.

(c) This section does not empower the office to require electricity suppliers to disclose confidential and proprietary business information without adequate protection of the information. The office shall exercise all necessary caution to avoid disclosure of any confidential information reported by electricity suppliers under this section.

Sec. 9. The office shall adopt guidelines to implement this chapter.

Sec. 10. Beginning in 2027, the office shall annually compile and summarize the information received from electricity suppliers under section 8 of this chapter for the previous calendar year and



include the office's summary of the information in the office's annual report to the interim study committee on energy, utilities, and telecommunications."

Page 12, line 31, delete "(a)".

Page 13, delete lines 3 through 9.

Page 14, line 5, delete "February" and insert "**March**".

Page 14, line 32, delete "February" and insert "**March**".

Page 15, line 2, delete "days only," and insert "**days**".

Page 16, line 26, delete "supplier's proposed:" and insert "**supplier's**".

Page 16, delete lines 27 through 30, begin a new line double block indented and insert:

"(A) case in chief (as defined in IC 8-1-2-42.7(c), including the electricity supplier's proposed:

(i) revenue requirement; and

(ii) base rates for each customer class; and

(B) proposed test period using forward looking periods the close of which correspond with the end of the second and third rate years in the electricity supplier's multi-year rate plan;"

Page 16, line 37, after "test year" insert "**under IC 8-1-2-42.7(e)**".

Page 17, line 3, after "established" insert "**using:**

(A) changes in the electricity supplier's net plant in service from the end of the immediately preceding rate year, including any difference between:

(i) actual net plant in service at the end of the rate year; and

(ii) the projected net plant in service used in the electricity supplier's test period for that rate year; and
(B) changes in the net balance of any regulatory asset or liability from the end of the immediately preceding rate year."

Page 17, delete lines 4 through 8.

Page 17, line 33, delete "Two (2) service restoration performance metrics," and insert "**A service performance restoration metric that:**".

Page 17, delete lines 34 through 36.

Page 17, line 37, delete "are" and insert "**is**".

Page 17, line 39, delete "are" and insert "**is**".

Page 17, line 42, delete "are each used by the commission to establish two (2)" and insert "**is used by the commission to establish a service restoration PIM that applies to that rate year."**



Page 18, delete lines 1 through 2.

Page 18, line 3, delete "Two (2) service restoration PIMs" and insert **"A service restoration PIM"**.

Page 18, line 4, delete "are" and insert **"is"**.

Page 18, line 5, delete "metrics" and insert **"metric"**.

Page 18, line 7, delete "provide" and insert **"provides"**.

Page 18, line 10, delete "operates".

Page 18, line 11, delete "independently of, and".

Page 18, line 12, delete "from," and insert **"from"**.

Page 18, line 17, after "plan." insert **"In an electricity supplier's first petition for a multi-year rate plan under this chapter, the electricity supplier shall include a plan to incorporate planned capital expenditures, subject to preapproval by the commission, into the electricity supplier's subsequent multi-year rate plans under this chapter."**

Page 19, between lines 1 and 2, begin a new line block indented and insert:

"(5) That the multi-year rate plan meets any other legal requirement."

Page 19, line 4, after "of" insert **"the office of utility consumer counselor or"**.

Page 20, line 9, delete "normalized".

Page 20, delete lines 12 through 27, begin a new line block indented and insert:

"STEP ONE: Determine the electricity supplier's average SAIDI over the course of the five (5) calendar years immediately preceding the most recently concluded calendar year, including major event days, for the electricity supplier's system in Indiana as a whole.

STEP TWO: Determine the electricity supplier's SAIDI for the most recently concluded calendar year, including major event days, for the electricity supplier's system in Indiana as a whole."

Page 20, line 35, delete "normalized".

Page 20, line 37, delete "normalized".

Page 20, line 42, delete "normalized".

Page 21, delete lines 6 through 42.

Page 22, delete lines 1 through 5.

Page 22, line 27, after "metric;" insert **"and"**.

Page 22, line 28, delete "normalized".

Page 22, delete lines 29 through 30.

Page 22, line 38, after "metric;" insert **"and"**.



Page 22, line 39, delete "normalized".

Page 22, delete lines 40 through 41.

Page 24, line 15, delete "through:" and insert **"through contributions of any money, services, or property that have been or will be provided at no cost to the electricity supplier by or through any:**

(A) governmental agency or program; or

(B) other third party, including voluntary charitable contributions from nonprofit organizations or from employees, customers, or shareholders of the electricity supplier;

in support of the program."

Page 24, delete lines 16 through 25.

Page 25, line 25, delete "6" and insert **"(6)(1)"**.

Page 25, line 29, delete "6" and insert **"(6)(1)"**.

Page 25, line 36, delete "(a)".

Page 25, line 37, delete "allocate to" and insert **"fund"**.

Page 25, line 38, after "program" insert **"in"**.

Page 25, line 39, delete "to at least fifty percent (50%) of the amount of any lost" and insert **"to:**

(1) at least two-tenths percent (0.2%) of the electricity supplier's jurisdictional revenues for residential customers; plus

(2) any contributions from:

(A) governmental agencies or programs; or

(B) other third parties, including voluntary charitable contributions from nonprofit organizations or from employees, customers, or shareholders of the electricity supplier."

Page 25, delete lines 40 through 42.

Page 26, delete lines 1 through 11.

Page 27, line 35, after "allocated" insert **"or contributed"**.

Renumber all SECTIONS consecutively.

and when so amended that said bill do pass.

(Reference is to HB 1002 as introduced.)

SOLIDAY

Committee Vote: yeas 13, nays 0.

EH 1002—LS 7032/DI 101



HOUSE MOTION

Mr. Speaker: I move that House Bill 1002 be amended to read as follows:

Page 8, line 1, delete "(h), an electric or gas utility may not terminate" and insert "**(i), the following apply with respect to the termination of residential electric or gas service:**

(1) An electric or gas utility may not terminate residential electric or gas service from December 1 through March 15 of any year ~~no electric or gas utility, including a municipally owned, privately owned, or cooperatively owned utility, shall terminate residential electric or gas service for persons~~ **customers** who are eligible for and have applied for assistance from a heating assistance program administered under IC 4-4-33.

(2) Subject to subsection (d), on any day for which a local weather forecast office of the National Weather Service has forecast, not earlier than forty-eight (48) hours in advance, a heat index of at least ninety-five (95) degrees Fahrenheit for a county or region within an electric utility's assigned service area under IC 8-1-2.3, the electric utility may not terminate residential electric service for customers who:

(A) receive residential electric service from the electric utility at a location to which the forecasted heat index applies; and

(B) are eligible for and have applied for assistance under a heating assistance program administered under IC 4-4-33 during the calendar year in which the forecast is made.

For purposes of subdivision (1), the commission shall implement procedures to ensure that electric or gas utility service is continued while eligibility for such persons customers is being determined.

(d) If:

(1) an electric utility has provided a notice of disconnection to a customer described in subsection (c)(2) before the local weather forecast office of the National Weather Service forecasts a heat index described in subsection (c)(2) for the customer's service location; and

(2) the fourteen (14) day period following the issuance of the disconnection notice during which the electric utility is prohibited from terminating the customer's electric service under 170 IAC 4-1-16 has not elapsed on the date the forecast is made;



the fourteen (14) day period described in subdivision (2) is tolled for a period beginning on the date on which the forecasted heat index described in subsection (c)(2) is made by the local weather forecast office of the National Weather service and ending at 11:59 p.m. on the first day that follows the day with respect to which the forecast was made and during which the forecasted heat index is not reached."

Page 8, delete lines 2 through 11.

Page 8, line 12, delete "(d)" and insert "(e)".

Page 8, line 22, delete "(e)" and insert "(f)".

Page 8, line 31, delete "(f)" and insert "(g)".

Page 8, line 35, delete "(g)" and insert "(h)".

Page 8, line 37, delete "(h)" and insert "(i)".

Page 9, line 13, delete ""budget billing arrangement"" and insert **""levelized billing plan" has the meaning set forth in IC 8-1-2-4.7."**

Page 9, delete lines 14 through 25.

Page 11, line 17, delete "budget" and insert **"levelized"**.

Page 19, line 7, delete "December 31, 2026," and insert **"November 15, 2026,"**.

Page 19, line 7, delete "February 1, 2027," and insert **"December 15, 2026,"**.

Page 32, delete line 31.

Page 32, line 32, delete "(3)" and insert **"(2)"**.

(Reference is to HB 1002 as printed January 22, 2026).

SHONKWILER

COMMITTEE REPORT

Mr. President: The Senate Committee on Utilities, to which was referred House Bill No. 1002, has had the same under consideration and begs leave to report the same back to the Senate with the recommendation that said bill be AMENDED as follows:

Page 1, between the enacting clause and line 1, begin a new paragraph and insert:

"SECTION 1. IC 4-22-2.3-7, AS ADDED BY P.L.249-2023, SECTION 43, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE UPON PASSAGE]: Sec. 7. The Indiana utility regulatory commission may adopt interim rules under the interim rule procedures in IC 4-22-2-37.2 pursuant to its authority under IC 8-1-1-3(g). ~~or~~

EH 1002—LS 7032/DI 101



~~IC 8-1-2-113~~: A rule described in this section expires not later than two (2) years after the rule is accepted for filing by the publisher of the Indiana Register and may not be continued in another interim rule."

Page 2, line 5, after "tariff." insert **"The term does not include a residential customer who has agreed to pay for utility service from an electricity supplier under an alternative billing tariff approved by the commission."**

Page 2, line 7, delete "however organized," and insert **"other than a municipally owned utility (as defined in IC 8-1-2-1(h)),"**

Page 2, line 18, delete "tariff; and" and insert **"tariff to a customer who is part of a household that is eligible for and has applied for assistance from a home energy assistance program administered under IC 4-4-33; and"**

Page 2, line 20, after "customer" insert **"of the electricity supplier"**.

Page 2, line 22, after "out of" delete "the" and insert **"a"**.

Page 2, line 38, delete "having an active account for utility" and insert **"described in subsection (e)(1)"**.

Page 2, delete line 39.

Page 2, line 40, delete "residential tariff".

Page 7, line 40, delete "municipally owned, privately owned," and insert **"privately owned"**.

Page 8, line 14, delete "region" and insert **"part of a county"**.

Page 8, line 36, delete "has not elapsed on the date the forecast" and insert **"would have elapsed on the forecasted date for the heat index to reach the level described in subsection (c)(2);"**

Page 8, delete line 37.

Page 8, delete lines 39 through 41.

Page 8, line 42, delete "p.m. on" and insert **"until"**.

Page 9, between lines 40 and 41, begin a new paragraph and insert:
"SECTION 6. IC 8-1-2.6-2, AS AMENDED BY P.L.107-2014, SECTION 2, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE UPON PASSAGE]: Sec. 2. (a) This section applies to rules and orders that:

- (1) concern telecommunications service or providers of telecommunications service; and
- (2) may be adopted or issued by the commission under the authority of state or federal law.

(b) Rules and orders described in this section:

- (1) may be adopted or issued only after notice and hearing, unless:

- (A) the commission ~~determines~~ **acts** in accordance with IC 8-1-2-113 ~~that an~~ **during a disaster** emergency ~~exists that~~



is declared by the governor and that requires the commission or a provider to take immediate action to:

- (i) prevent injury to the business or interests of the citizens of Indiana; or
- (ii) maintain a provider's financial integrity and ability to provide adequate basic telecommunications service;
- (B) the commission is authorized under IC 8-1-2 to adopt a particular rule or issue a particular order without the necessity of a hearing; or
- (C) after receiving notice of the commission's proposed action, all parties to a proceeding consent to the commission taking action without a hearing; and
- (2) must be:
 - (A) consistent with this chapter; and
 - (B) in the public interest, as determined by the commission under subsection (d).
- (c) Rules and orders described in this section must promote one (1) or more of the following:
 - (1) Cost minimization for providers to the extent that a provider's quality of service and facilities are not diminished.
 - (2) A more accurate evaluation by the commission of a provider's physical or financial conditions or needs as well as a less costly regulatory procedure for either the provider, the provider's customers, or the commission.
 - (3) Consumer access to affordable basic telecommunications service.
 - (4) Development of depreciation guidelines and procedures that recognize technological obsolescence.
 - (5) Increased provider management efficiency beneficial to customers.
 - (6) Regulation consistent with a competitive environment.
- (d) In determining whether the public interest will be served, as required under subsection (b), the commission shall consider:
 - (1) whether technological change, competitive forces, or regulation by other state and federal regulatory bodies render the exercise of jurisdiction by the commission unnecessary or wasteful;
 - (2) whether the exercise of commission jurisdiction produces tangible benefits to the customers of providers; and
 - (3) whether the exercise of commission jurisdiction inhibits a regulated entity from competing with unregulated providers of functionally similar telecommunications services or equipment."



Page 10, line 10, delete "however organized," and insert **"other than a municipally owned utility (as defined in IC 8-1-2-1(h)),"**.

Page 10, line 29, delete "that:" and insert **"that is for utility service that is provided to a customer who is eligible for and has applied for assistance from a home energy assistance program administered under IC 4-4-33."**

Page 10, delete lines 30 through 37.

Page 11, delete lines 12 through 19.

Page 11, line 20, delete "(5)" and insert **"(2)"**.

Page 11, line 23, delete "(6)" and insert **"(3)"**.

Page 11, delete lines 25 through 29.

Page 11, line 30, delete "(9)" and insert **"(4)"**.

Page 11, line 31, delete "ninety (90)" and insert **"sixty (60)"**.

Page 11, line 32, delete "(10)" and insert **"(5)"**.

Page 11, line 33, delete "(9)." and insert **"(4)."**

Page 11, delete lines 34 through 35.

Page 11, line 36, delete "(12)" and insert **"(6)"**.

Page 11, line 36, delete "new".

Page 11, line 39, delete "(13)" and insert **"(7)"**.

Page 11, line 39, delete "new".

Page 11, line 41, delete "(14)" and insert **"(8)"**.

Page 12, line 1, delete "(15)" and insert **"(9)"**.

Page 12, delete lines 3 through 8.

Page 12, line 9, delete "(19)" and insert **"(10)"**.

Page 12, line 9, delete "identified" and insert **"written off as uncollectible."**

Page 12, delete lines 10 through 20.

Page 12, between lines 38 and 39, begin a new paragraph and insert:

"SECTION 8. IC 8-1-32.4-15, AS AMENDED BY P.L.8-2012, SECTION 8, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE UPON PASSAGE]: Sec. 15. (a) The commission may ~~declare~~ act in accordance with IC 8-1-2-113 ~~that an~~ during a disaster emergency exists ~~in that is declared by the governor and that includes~~ an area in Indiana that is not served by any communications service provider offering voice service through any technology or medium. If the commission ~~declares an~~ acts in accordance with IC 8-1-2-113 during a declared disaster emergency, ~~under this section,~~ the commission may issue any order necessary to protect the health, safety, and welfare of affected residents or businesses and may expedite the availability of voice service to the affected residents or businesses.

(b) If the commission authorizes a communications service provider to offer voice service under this section, the commission shall permit



the communications service provider to offer the voice service through any available technology or medium determined by the communications service provider."

Page 15, line 20, delete "1336." and insert "**1366.**".

Page 15, line 33, delete "1336"" and insert "**1366**".

Page 15, line 34, delete "1336," and insert "**1366,**".

Page 15, line 40, delete "1336, the version of IEEE 1336" and insert "**1366, the version of IEEE 1366**".

Page 16, line 7, delete "1336." and insert "**1366.**".

Page 18, line 5, delete "1336." and insert "**1366.**".

Page 18, line 16, delete "1336." and insert "**1366.**".

Page 19, line 21, delete "subsection (b)," and insert "**subsections (b) and (c),**".

Page 20, between lines 16 and 17, begin a new paragraph and insert:

"(b) An electricity supplier may file its first petition with the commission for approval of a multi-year rate plan under this chapter before the beginning of the time frame that would otherwise apply to the electricity supplier under subsection (a) if the petition:

- (1) requests approval of a reduction in the electricity supplier's overall revenue requirement for the first rate year of the multi-year rate plan;**
- (2) meets all requirements for a multi-year rate plan under this chapter; and**
- (3) is filed with the commission not later than September 1, 2026."**

Page 20, line 17, delete "(b)" and insert "**(c)**".

Page 20, line 18, delete "under IC 8-1-2-113".

Page 20, line 28, delete "(c)" and insert "**(d)**".

Page 21, between lines 30 and 31, begin a new line block indented and insert:

"As used in this subdivision, "net plant in service" refers to both utility plant in service and accumulated depreciation."

Page 22, between lines 27 and 28, begin a new paragraph and insert:

"(b) An electricity supplier's petition for approval of a multi-year rate plan under this chapter may include alternative regulatory practices, procedures, accounting treatments, and mechanisms that are consistent with this chapter."

Page 22, line 28, delete "(b)" and insert "**(c)**".

Page 22, line 39, delete "(c)" and insert "**(d)**".

Page 27, line 11, delete "however organized," and insert "**other than a municipally owned utility (as defined in IC 8-1-2-1(h)),**".



Page 28, line 34, delete "(6)(1)" and insert "**6(1)**".

Page 28, line 38, delete "(6)(1)" and insert "**6(1)**".

Page 28, line 39, after "at" insert "**the**".

Page 30, line 14, after "petition" insert "**with**".

Page 31, line 13, after "(d)," insert "**if**".

Page 31, line 36, delete "for recovery".

Renumber all SECTIONS consecutively.

and when so amended that said bill do pass and be reassigned to the Senate Committee on Appropriations.

(Reference is to HB 1002 as reprinted January 28, 2026.)

KOCH, Chairperson

Committee Vote: Yeas 8, Nays 0.

COMMITTEE REPORT

Mr. President: The Senate Committee on Appropriations, to which was referred Engrossed House Bill No. 1002, has had the same under consideration and begs leave to report the same back to the Senate with the recommendation that said bill DO PASS.

(Reference is to EHB 1002 as printed February 10, 2026.)

MISHLER, Chairperson

Committee Vote: Yeas 9, Nays 0

